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Global Geopolitical Risk and Its Impact on Investment Return

Case Study Analysis

Case Study

Israel–Hamas Conflict and Its Effect on Oil and Gold Prices

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Certificate

This is to certify that the report titled **"Global Geopolitical Risk and Its Impact on Investment Return – Case Study Analysis"** has been successfully completed and submitted by **Gaurav Rajendra Patil** in partial fulfillment of the requirements for CCE–II evaluation in the course Investment Management during the Academic Year 2025–26.

The work has been carried out under the guidance of the course teacher and is based on the study of **Israel–Hamas Conflict and Its Effect on Oil and Gold Prices**.

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Index / Table of Contents

Sr. No.	Title	Page No
1	Introduction of the Event	1 - 2
2	Nature of Risk Involved	2 - 3
3	Impact on Financial Market	4 - 6
4	Risk–Return Analysis	6 - 7
5	Investor Decision	7
6	Conclusion	8
7	References	8

1. Introduction of the Event

Geopolitical events such as wars, political conflicts, and international tensions often have a strong impact on the global economy and financial markets. These events create uncertainty among investors and governments. When such conflicts happen, global markets react quickly because investors become worried about economic stability and future risks.

One important recent geopolitical event is the conflict between Israel and Hamas. This conflict escalated again in **October 2023 and continued to influence global markets during 2024, 2025, and even in 2026.** The conflict created serious political and military tension in the Middle East region. The situation quickly attracted global attention because the Middle East plays a critical role in global trade and energy production.

When the conflict intensified, many countries became concerned that the war might spread to nearby regions such as Iran or Lebanon. This created uncertainty in global financial markets. Investors started reacting to the news of the conflict, which caused fluctuations in stock markets and changes in commodity prices such as oil and gold. For example, **Brent crude oil prices increased close to $90–$95 per barrel during periods of geopolitical tension,** while gold prices also rose as investors searched for safer investment options.

- **Main background points:**

  - Israel is a developed country with a strong military and advanced economy.
  - Hamas is a militant organization that controls the Gaza Strip.
  - The conflict between Israel and Hamas is based on long-standing political and territorial issues.
  - The Middle East region plays a very important role in global energy production, especially oil.
  - Countries such as Saudi Arabia, Iran, Iraq, and the United Arab Emirates together produce **around 30% of the world's oil supply.**
  - Because of the conflict, there was fear that oil supply might be disrupted or reduced.
  - When global oil supply becomes uncertain, oil prices usually increase in international markets.
  - Due to this uncertainty, global financial markets reacted quickly and investors became cautious.

- Many investors started moving their money to safer investment options.
- Gold prices increased because gold is considered a safe-haven asset during crises, and **gold prices remained close to $2000 per ounce during periods of global uncertainty.**

Because of these reasons, the Israel–Hamas conflict became an important geopolitical event that influenced global financial markets, investment decisions, and commodity prices such as oil and gold. Such geopolitical conflicts increase uncertainty in financial markets and affect investor confidence. As a result, investors become more cautious and carefully evaluate their investment strategies. This situation clearly shows how global political events can influence economic stability and financial market behaviour.

2. Nature of Risk Involved

Geopolitical conflicts such as the Israel–Hamas war create several types of risks for investors and financial markets. When political tensions increase, economic conditions become uncertain and financial markets start reacting quickly. Investors become more cautious because they are unsure about future economic stability.

During such situations, different types of financial risks appear in global markets. These risks affect investment decisions, market prices, and economic growth. The Israel–Hamas conflict created multiple risks that influenced financial markets and increased uncertainty among investors.

➢ **Main Types of Risks:**

1. **Political Risk**
   - War and political tension in the Middle East created uncertainty in global markets and international relations.
   - There was fear that the conflict might expand to nearby countries such as Iran, which could increase regional instability.
   - Government decisions, sanctions, and military actions can affect economic stability and international trade.
   - The Middle East region produces **around 30% of the world's oil supply**, so political instability can influence global energy markets.

2. **Market Risk**
   - Global stock markets became volatile due to uncertainty caused by the conflict.
   - Major stock indices such as **S&P 500 and Nasdaq experienced short-term fluctuations during periods of geopolitical tension**.
   - Many investors became cautious and reduced risky investments in uncertain market conditions.
   - Stock prices fluctuated because investors reacted quickly to geopolitical news and economic developments.

3. **Inflation Risk**
   - Oil prices increased due to concerns about supply disruption in the Middle East region.
   - **Brent crude oil prices rose close to $90–$95 per barrel during periods of tension**, increasing global energy costs.
   - Higher oil prices increased transportation and production costs for many industries.
   - Increased production costs may lead to higher prices of goods and services globally, contributing to inflation.

4. **Interest Rate Risk**
   - Rising inflation may force central banks such as the **US Federal Reserve** to increase interest rates.
   - Higher interest rates increase borrowing costs for businesses and consumers.
   - Expensive loans may reduce investments and consumer spending in the economy.
   - As a result, higher interest rates may slow down overall economic growth.

These risks together created uncertainty in global financial markets. Because of these risks, investors became more careful while making investment decisions. This situation clearly shows how geopolitical conflicts can influence economic stability and financial market behaviour across the world.

3. Impact on Financial Markets

The Israel–Hamas conflict had a strong impact on different financial markets around the world. Because the Middle East region plays a major role in global energy supply, geopolitical tensions created uncertainty in financial markets. Investors closely followed the developments in the region, which caused volatility in stock markets and commodity prices.

During the early stages of the conflict in October 2023, several global markets reacted quickly. Oil prices increased because traders feared possible disruption in oil supply. At the same time, gold prices increased as investors moved toward safer investments. Global stock markets also experienced short-term fluctuations because of investor uncertainty.

- **Main Impacts:**

1. **Stock Markets**
   - Global stock markets experienced volatility due to geopolitical uncertainty.
   - Major indices such as the **S&P 500 and Nasdaq showed fluctuations of around 2–3% during major conflict news periods**.
   - Investors became cautious and some industries such as airlines and tourism experienced temporary declines.

2. **Oil Prices**
   - Oil prices increased due to fear of supply disruption in the Middle East.
   - **Brent crude oil prices increased to around $90–$95 per barrel during periods of geopolitical tension.**
   - Higher oil prices increased operating costs for industries such as airlines, transportation, and logistics.

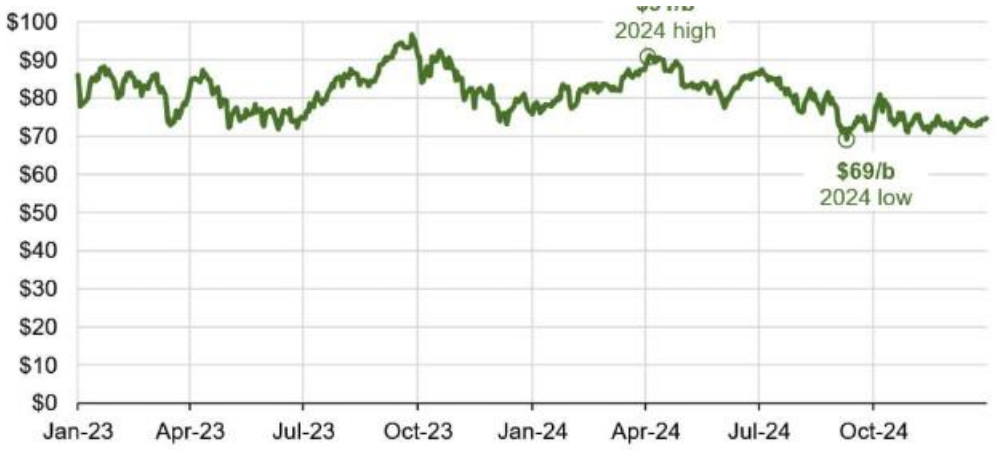

Figure 1: Brent Crude Oil Price Trend (2023–2024) showing volatility during geopolitical tensions

3. **Gold Prices**
   - Gold prices increased because investors considered gold a safe-haven asset during global uncertainty.
   - **Gold prices crossed nearly $2000 per ounce during the conflict period due to increased investor demand.**
   - Demand for gold usually increases during geopolitical crises.

Figure 2: Global Gold Price Trend (2022–2024) during periods of geopolitical uncertainty

4. **Investor Sentiment**
   - Investor confidence decreased during the conflict because of political and economic uncertainty.
   - Many investors avoided risky investments and preferred safer assets.
   - Market sentiment became cautious, and trading volumes increased during periods of conflict news.

5. **Global Investment Flows**
   - Some investors shifted their money from stocks to safer assets.
   - Investments moved toward gold, government bonds, and stable currencies such as the **US Dollar**.
   - Global funds increased allocations to defensive assets during the period of geopolitical tension.

- **Market Impact:**

Asset Class	Immediate Impact	Market Data / Example
Stock Markets	Short-term volatility	Major indices fluctuated by **2–3%** during conflict news
Oil Prices	Price increase	Brent crude reached **$90–$95 per barrel**
Gold Prices	Safe-haven demand increased	Gold prices crossed **$2000 per ounce**
Investor Sentiment	Cautious market behaviour	Investors reduced risky investments
Investment Flows	Shift toward safe assets	Increased demand for **gold and government bonds**

4. Risk–Return Analysis

The **risk–return trade-off** explains that higher risk is usually associated with higher potential returns. During geopolitical conflicts such as the Israel–Hamas war, investment risk increases because of uncertainty in global economic conditions. As a result, investors expect higher returns as compensation for taking higher risk.

- **Market Impact:**
  - **Higher Beta (β):** During the conflict, sectors such as airlines, transportation, and manufacturing showed higher sensitivity to market volatility due to increased fuel costs and economic uncertainty.
  - **Energy Sector Benefit:** Energy companies benefited from rising oil prices. During the conflict, Brent crude oil prices increased to around **$90–$95 per barrel**, improving the profitability of oil an gas companies.
  - **Safe-Haven Effect:** Gold demand increased because investors preferred safer assets during geopolitical tension. Gold prices remained close to **$2000 per ounce**.

- **Expected Return (E[R]):** Due to increased geopolitical risk, investors demanded a higher **risk premium** when investing in uncertain markets.

Overall, the Israel–Hamas conflict clearly shows how geopolitical events can increase investment risk and influence expected returns in financial markets.

5. Investor Decision

During geopolitical crises such as the Israel–Hamas conflict, investors should adopt careful investment strategies and avoid emotional decisions. Market volatility and economic uncertainty can create risks, so investors should focus on risk management and long-term investment planning.

➢ **Possible Investor Strategies:**

- **Buy:** Investors may buy safe-haven assets such as gold during periods of geopolitical uncertainty. Some investors may also invest in energy sector stocks because rising oil prices can increase their profitability.

- **Hold:** Long-term investors should avoid panic selling and hold quality investments. Holding investments during temporary market volatility can help investors achieve better long-term returns.

- **Sell:** Investors may sell highly risky or unstable assets to reduce exposure to uncertain market conditions and protect their capital.

- **Diversification Strategy:** Investors should diversify their portfolios across different asset classes such as stocks, bonds, commodities, and gold. Diversification helps reduce overall investment risk during geopolitical crises.

- **Dynamic Asset Allocation:** During conflicts, many investors shift their investments from high-risk growth stocks to more stable sectors such as utilities, healthcare.

- **Hedging Strategies:** Some investors use financial instruments such as options or futures to protect their portfolios against sudden market declines.

6. Conclusion

The Israel–Hamas conflict clearly shows how geopolitical events can influence global financial markets. The conflict created political and economic uncertainty, which affected investment risk and market behaviour. Oil and gold prices increased as investors reacted to the crisis. Understanding such geopolitical risks helps investors make better financial decisions and manage their investments during uncertain situations. It also highlights the importance of risk management and diversification in global investment strategies.

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